



ESOP Valuation Advisory Report

ESOP Starter Guide

Prepared for founders and finance leaders who are in the early stages of ESOP planning and want to understand the process before making commitments.

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Important notice: This guide is general guidance based on assessment responses. It is not a valuation report, audit opinion, legal advice, tax advice, investment advice, or employee communication advice. Formal advice requires a separate engagement and review of source documentation. For legal, tax, audit, or corporate secretarial matters, consult the relevant qualified professional.

Your Assessment Summary

Based on your responses, you are in the early stages of ESOP exploration. You do not have an active demand for equity from employees and no immediate timeline to implement a plan. You do not need a valuation today. This guide explains what triggers the need for a formal valuation so you are prepared when the time comes.

Section 01

You are early, which means you still have time to structure this properly.

Your assessment responses suggest that employee retention matters to you, but you do not yet have an active demand for equity from employees and there is no immediate timeline to implement an Employee Share Option Plan.

That means you probably do not need a formal ESOP valuation today. But you should understand the triggers that make valuation urgent, because once a senior hire asks for equity, an investor reviews your cap table, or your auditor asks for support, the timeline compresses quickly.

This guide explains what an ESOP is, why valuation matters, when the need becomes urgent, and what you should prepare before moving from planning to execution.

Section 02

What an ESOP actually does?

An Employee Share Option Plan allows employees to buy shares in your company at a predetermined price after certain vesting conditions are met. The purpose is alignment. Employees participate in the future value they help create, while the company can attract and retain talent without relying only on cash compensation.

The central number in an ESOP is the strike price. This is the price employees must pay to exercise their options in the future. If the company grows meaningfully above that price, the options become economically valuable. If the company does not grow above that price, the options may be worth little or nothing.

That is why an ESOP is not just a legal document. It is a financial promise. Employees need to understand the grant, the strike price, the vesting schedule, and the path to liquidity. Founders need to understand the dilution, tax treatment, accounting impact, and governance expectations that come with issuing options.

At the planning stage, your job is not to solve everything immediately. Your job is to avoid creating commitments before the commercial structure is clear. Without that documentation, several risks can surface at once.

Section 03

Why valuation becomes the foundation.

The valuation determines whether the ESOP is credible. It provides the basis for the strike price and gives the board, auditors, investors, and employees a defensible explanation for how the number was set.

If the strike price is set too high, the options may feel meaningless because employees cannot see how they will ever be in the money. If the strike price is set too low, the company may transfer value unnecessarily, increase dilution pressure, and create tax or governance questions later.

Founders sometimes assume they can use an internal spreadsheet, the last fundraising price, or a cap table platform to determine the strike price. That is risky. Cap table software can record ownership and vesting schedules, but it does not replace an independent valuation report. A formal ESOP valuation usually requires recognised option pricing models such as Black Scholes or binomial pricing, supported by an assessment of the underlying share value.

Important Note:

For Singapore companies, this becomes especially important when ESOP accounting, audit review, and employee tax treatment come into scope. A valuation prepared at the right time gives you a cleaner governance trail and a stronger basis for future conversations.

Section 04

When does ESOP valuation becomes urgent?

The first trigger is a senior hire or key employee asking for equity. Once equity becomes part of the compensation discussion, you need a credible way to explain what the grant is worth. Without a valuation, the conversation usually collapses into percentages, which can create unnecessary dilution and unrealistic expectations.

The second trigger is a fundraising round. Institutional investors will review your option pool, grant history, and cap table during due diligence. If options have been issued without

a defensible basis for the strike price, they may ask whether the company has a governance problem, an accounting problem, or both.

The third trigger is audit. If options have been granted during the financial year, the auditor may need support for the option expense recorded in the accounts. A proper ESOP valuation helps support the grant date fair value and reduces the risk of last minute delays during sign off.

The fourth trigger is board approval. A board should not be asked to approve an ESOP pool, grant package, or strike price without understanding the valuation basis and dilution impact. The earlier that logic is prepared, the easier the approval process becomes.

Valuation component	What is reviewed
Senior hire asks for equity	You need a credible basis for explaining the grant value and strike price.
Fundraising is approaching	Investors will review the option pool, cap table, grant history, and governance process.
Audit review begins	Auditors may need support for the grant date fair value and share based payment expense.
Board approval is required	Directors need to understand valuation basis, dilution impact, and commercial rationale before approving grants.

Section 05

The Liquidity Question Founders Ask Too Late.

The most overlooked ESOP question is not only what the options are worth today. It is how employees eventually turn that value into cash.

Options are valuable only if there is a credible path to liquidity. In most companies, that path comes from an IPO, acquisition, secondary sale, share buyback, or other structured liquidity event. If employees cannot see how the value becomes real, they will discount the ESOP heavily, even if the valuation is technically correct.

This matters for retention. A founder may think the company has granted a meaningful incentive package. The employee may see a paper instrument with uncertain value, uncertain timing, and no clear exit route. When those two interpretations diverge, the ESOP stops functioning as an alignment tool.

The liquidity question should sit alongside valuation and governance. A stronger ESOP structure does not only answer what the strike price is. It also helps management think through vesting, exercise windows, potential secondary processes, employee communication, and how the plan will remain credible as the company grows.

Section 06

Your Immediate Next Steps.

Step 1

Start by aligning with your cofounders and board on whether equity should be part of your long term talent strategy. Not every company needs an ESOP immediately. But if you expect to hire senior talent, raise institutional capital, or build a long term retention culture, the question will eventually surface.

Step 2

Avoid making informal promises in offer letters or compensation conversations. Do not promise a specific percentage, strike price, or implied value until the structure is clear.

Step 3

Prepare the basic information that will eventually support a valuation. This includes your cap table, latest financial statements, recent fundraising terms, business plan, proposed option pool size, and any preliminary thoughts on vesting or eligibility.